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Q.No

1. A1

Budgetary control

Budgetary control means the implementation of a budget control for the controlling of money for said budget.

A Budget is when we estimate a cost for a certain thing and we hope to spend for about that only.

It is best used for time management also as we can analyze what is the estimated cost of the thing and plan accordingly.

B1.

Budgets

A budget is we estimate the cost of a thing and we hope to spend that much only.

- cash budget
- fixed budget
- flexible budget
- sales budget.

Q.No

C]

Standard costing

Standard costing is the costing of the standard cost to be assigned is to be at a standard cost. Say at for cost to be assigned then at it's called Standard costing

D]

Contribution in marginal costing

Marginal costing is when the cost is set on a marginal scale; And for said cost to be set there can be contribution.

Many factors can affect the marginal cost as to be at contributors,

Q.No

E

Break-even point.

The break even point is when a business has no loss nor no profit. The expenditure costs and the sales received both balance each other out, 0. There is no loss nor any profit gained. This is a base stable.

F

Differential cost.

Differential cost is when the cost of a product is varied depending on its situation it is placed in.

This is so it called differential cost.

Q.No

2. AI

Fixed Budget and Flexible Budget.

Budget is when we estimate the expenditure and we expect to spend said amount only.

• Fixed Budget.

A fixed budget is when there is no variable in the accounting. There is no external factor that might change the cost and affect the budget.

• Flexible Budget

A flexible budget is where there is a variable in the accounting. There is an external factor that might change the cost and affect the budget. This so called type of budget is called a flexible budget.

Q.No

B

Material price variance.

Given.

$$\text{Standard price} = ₹ 20$$

$$\text{Actual price} = ₹ 22$$

$$\text{Actual quantity purchased} = 100$$

$$MCP = (SP - AP) \times (AQ)$$

$$= (20 - 22) \times 100$$

$$= -2 \times 100$$

$$= -200.$$

∴ Therefore.

$$\text{Material price variance} = -200.$$

Q.No

c]

Cost Volume Profit. (CVP) analysis.

CVP analysis is when we consider all 3 cost, volume or profit ~~and~~ analyze the output and see if we are getting a profit or loss.

With this analysis we can get a clear view on how the business is going on and take according decisions based on that.

Combine CVP analysis with margin of safety. With these both the management can take according managerial decision for the ~~companies~~ company's benefit.

Q.No

D1

Contribution Analysis.

Contribution analysis is when breakdown the output and see what all were the contributing factor for it. Then with said data and other records we can analysis if we are getting a profit or loss.

By doing this we can pinpoint the exact cause which contributed for said output.

This is helpful as with help of contribution analysis we can provide data to the management and they analyse it. With analysis the management can make special order decisions and product mix decisions under limiting factors as we have pinpointed the cause of the output with contribution analysis.

Q.No

3 Responsibility Accounting

Responsibility accounting is to find the responsible action for the cause. Like taking accountability

∴ The 'Sales' department made a small mistake.

See instead of just saying mistake, the mention of the responsible actor is mentioned.

Responsibility Centres.

- Cost Centres
- Profit Centres
- Investment Centres.

These can also be distinguished by basis of Control, Authority, and performance measurement.

Q.No

Cost Centres

Cost Centre is when the cost plays a part of being responsible for the outcome. basis of control $\rightarrow$ mid.
 Authority $\rightarrow$ mid, performance measurement $\rightarrow$ High.

Profit Centres

Profit Centre is when the profit plays a part of being responsible for the outcome. basis of control $\rightarrow$ Low
 Authority $\rightarrow$ mid, performance measurement $\rightarrow$ High

Investment Centres

Investment centre is when the Investment plays a part of being responsible for the outcome. basis of control $\rightarrow$ High.
 Authority $\rightarrow$ High, performance measurement $\rightarrow$ mid

Q.No

5

Capital Budgeting.

Capital budgeting is when we estimate the Capital of an investment and hope to profit to be at that estimate.

Payback period

the allotted time for bringing a return on investment. So to bring profit to payback the investors.

Accounting Rate of Return. (ARR)

It is the rate of return of the money for a payback period which being documented in Accounting.

Net Present Value, (NPV)

NPV represents the net present value of a given building, the value it contains at the present.

~~the~~

Q.No

Internal Rate of Return (IRR)

IRR is the rate of return of the money for a pay back period internally. Internal rate of return is the internal calculation of returning of amount.

Q.No

1. The following are the data of a company for the year 2019-2020. The company has a fixed capital of Rs. 10,00,000. The company has a variable capital of Rs. 5,00,000. The company has a total capital of Rs. 15,00,000. The company has a total assets of Rs. 15,00,000. The company has a total liabilities of Rs. 15,00,000. The company has a total equity of Rs. 15,00,000. The company has a total debt of Rs. 15,00,000. The company has a total net worth of Rs. 15,00,000.

